Pearson Edexcel

Level 3 GCE

Practice Paper 1B (Advanced)

Time: 1 hour 30 minutes | Paper Reference: **8EB0/01**

Economics B

Advanced Subsidiary

Paper 1: Markets, consumers and firms

Instructions

• Use **black** ink or ball-point pen.

• **Fill in the boxes** at the top of this page with your name, centre number and candidate number.

• Answer **all** questions.

• Answer the questions in the spaces provided – *there may be more space than you need.*

Information

• The total mark for this paper is **80**.

• The marks for **each** question are shown in brackets – *use this as a guide as to how much time to spend on each question.*

• Calculators may be used.

Advice

• Read each question carefully before you start to answer it.

• Try to answer every question.

• Check your answers if you have time at the end.

Answer ALL questions.

SECTION A

Read the following extracts (A and B) before answering Question 1.

Write your answers in the spaces provided.

Extract A

TechMakers Ltd

TechMakers Ltd manufactures specialist electronic components used in domestic appliances and consumer electronics. The firm exports to more than 40 countries worldwide and supplies a number of well-known brand manufacturers.

The business was founded 18 years ago by engineer Richard Bennett, who initially produced components in a small unit in Birmingham. Operating with just five employees, the firm faced intense competition from low-cost producers based overseas. With limited capital, Richard found it difficult to invest in modern production technology, and average costs remained high.

After raising further finance through the sale of share capital, TechMakers Ltd was able to relocate to a larger production facility and purchase automated machinery. This allowed the business to take advantage of economies of scale, lowering average costs and improving its ability to compete on price.

By 2018, TechMakers Ltd employed 220 staff and had developed a reputation for high-quality, reliable components. However, growth has not been without difficulties. The firm has faced rising raw material costs and increased competition from rival firms in Asia.

In recent years, the UK government has offered subsidies to firms investing in environmentally friendly manufacturing technology. TechMakers Ltd has taken advantage of these subsidies to invest in energy-efficient machinery, which has helped to reduce its long-term operating costs. However, some shareholders have questioned whether the firm should focus on internal growth or pursue a merger with a larger rival.

Extract B

Statement of comprehensive income for TechMakers Ltd year ending 31 December 2023

	£
Sales revenue	4 200 000
Cost of sales	2 730 000
Gross profit	1 470 000
Expenses	630 000
Operating profit	840 000
Interest and tax	210 000
Profit for the year	630 000
Dividends	320 000
Retained profit	310 000

1 (a) What is meant by the term 'economies of scale'?

(2)

(b) Calculate, to 2 decimal places, the net profit margin for TechMakers Ltd for the year ending 31 December 2023. You are advised to show your working.

(4)

The UK government has offered a subsidy to manufacturers of electronic components to encourage investment in environmentally friendly production.

(c) Using a supply and demand diagram, illustrate the likely impact of this subsidy on the market for electronic components.

(4)

(d) Discuss the disadvantages for a firm such as TechMakers Ltd of raising additional finance through the sale of share capital.

(8)

Shareholders of TechMakers Ltd are considering whether the firm should pursue internal (organic) growth or external growth through a merger.

(e) Assess the advantages of internal growth for a firm such as TechMakers Ltd.

(12)

(Total for Question 1 = 30 marks)

TOTAL FOR SECTION A = 30 MARKS

SECTION B

Read the following extracts (C and D) before answering Question 2.

Write your answers in the spaces provided.

Extract C

Growing greener

After working as a chef for over a decade, James Holloway became increasingly concerned about food sustainability and the environmental impact of long-distance food transportation. In 2021, he decided to start his own business, GreenGrow Organics, supplying organic vegetable boxes to households in Manchester.

GreenGrow Organics sources its produce directly from a small number of local organic farms within a 30-mile radius. Customers can subscribe to a weekly delivery service, with a standard box costing £20 and a family box costing £35.

James operates from a small warehouse and employs three part-time staff to help with packing and deliveries. Although the business has grown steadily, it operates in a competitive market, with supermarkets and several other organic delivery services available to consumers.

"I knew from the start that running this business would not make me rich," said James. "I started GreenGrow because I wanted to support local farmers, reduce food miles and provide healthy, affordable food to my community. But I also need to make sure the business is financially sustainable."

Recent data suggests that as consumer incomes have risen, demand for premium organic produce has grown faster than demand for standard supermarket vegetables. James is considering raising prices in response to higher demand, but worries this may lose him customers to cheaper rivals.

Extract D

Cash flow forecast for GreenGrow Organics January – April 2024

	Jan	**Feb**	**Mar**	**Apr**
	£	**£**	**£**	**£**
Cash inflow				
Sales revenue	16 000	18 000	20 500	22 000
Total cash inflow	16 000	18 000	20 500	22 000
Cash outflow				
Stock purchases	10 500	12 000	13 800	14 500
Wages	4 200	4 200	4 800	4 800
Other expenses	2 800	2 800	2 800	2 800
Total cash outflow	17 500	19 000	21 400	22 100
Net cash flow	**(1 500)**	**(1 000)**	**(900)**	**(100)**
Opening balance	2 800	1 300	300	(600)
Closing balance	1 300	300	(600)	(700)

2 (a) What is meant by the term 'price elasticity of demand'?

(2)

(b) Explain why GreenGrow Organics may have experienced a shortage of cash in March 2024.

(4)

In May 2024, GreenGrow Organics increased the price of its standard vegetable box from £20 to £22. As a result, the quantity demanded of standard boxes fell from 800 per month to 720 per month.

(c) Calculate, to 2 decimal places, the price elasticity of demand for the standard vegetable box. You are advised to show your working.

(4)

A major supermarket chain has recently launched a low-cost organic vegetable range, priced 30% below the price of an equivalent GreenGrow box.

(d) Discuss the likely impact on the demand curve for GreenGrow Organics from a fall in the price of a close substitute good.

(8)

(e) Assess the importance of non-financial motives for James in his decision to set up and run GreenGrow Organics.

(12)

(Total for Question 2 = 30 marks)

TOTAL FOR SECTION B = 30 MARKS

SECTION C

Read the following extracts (E and F) before answering Question 3.

Write your answer in the space provided.

Extract E

The UK sugar tax

In 2018, the UK government introduced the Soft Drinks Industry Levy, more commonly known as the 'sugar tax'. The tax is paid by manufacturers of soft drinks containing more than 5g of sugar per 100ml, with a higher rate applying to drinks with more than 8g of sugar per 100ml.

The purpose of the sugar tax is to address the rising rates of childhood obesity and type 2 diabetes in the UK. By increasing the cost of high-sugar drinks, the government aims to encourage manufacturers to reformulate their products with less sugar and to discourage consumers from purchasing the most sugary drinks. Revenue raised from the tax has been used to fund school sports programmes and breakfast clubs.

(Source: adapted from gov.uk)

Extract F

Sugar tax – success or failure?

Five years after its introduction, the UK sugar tax remains a controversial policy. Supporters argue that it has been a major success: many large manufacturers, including Coca-Cola, Britvic and AG Barr, have significantly reduced the sugar content of their drinks to avoid paying the levy. As a result, total sugar consumed through soft drinks has fallen by an estimated 30%.

However, critics argue that the policy has had unintended consequences. "The sugar tax is regressive," says economist Professor John Phillips. "Lower-income households tend to spend a higher proportion of their income on sugary drinks, so they are disproportionately affected by the tax. Meanwhile, wealthier households can easily absorb the additional cost."

There are also concerns about the limits of the tax. Many sugary products – including biscuits, cakes and confectionery – are not covered by the levy, meaning consumers may simply switch to alternative sources of sugar. Some studies suggest that obesity rates have not fallen as significantly as the government had hoped.

Implementation has also been costly. The tax has required new systems for monitoring and collecting revenue, as well as additional administrative work for manufacturers. Several small drinks producers have argued that the cost of compliance is disproportionately high for smaller firms compared with large multinationals.

Public health experts continue to debate whether the tax should be extended to other products or whether more emphasis should be placed on consumer education and improving the availability of healthier alternatives.

(Source: adapted from various public health and economics publications)

3 Evaluate the extent to which the introduction of the sugar tax could be considered a government failure.

(20)

(Total for Question 3 = 20 marks)

TOTAL FOR SECTION C = 20 MARKS

TOTAL FOR PAPER = 80 MARKS